

Shortages and rationing



In properly functioning markets, supply equals demand. There are no shortages: anyone willing to pay the market price can obtain the good. In contrast, Hungarian economist Janos Kornai showed why shortages arise in centralized economies.

In standard markets, firms are subject to 'hard budget constraints' – they must earn enough revenue to cover costs. This ensures they produce as efficiently as possible, making as much as they can with the smallest inputs. Kornai argued that in centrally planned economies, firms face 'soft budget constraints': if they make losses, they get bailed out by the state. As a result, they don't have an incentive to economize on inputs or produce in quantity. As they eat up inputs without increasing production, shortages emerge, until eventually consumers are forced to queue for goods. Even in capitalist economies, not all budget constraints are hard: some firms considered 'too big to fail' are

still bailed out by the taxpayer, as some banks were in the wake of the 2007–8 financial crisis.